HR Commission Structure - Sales Reps

Overview:

The idea of the comp plan is to solve some of the biggest challenges in scaling a D2D sales team/company, which is retention and growth. I want to incentivize **volume** of sales, while also incentivizing **recruiting** and **retention**. The pay plan needs to be simple enough for anyone to understand, and trackable where reps can always view their upcoming commissions and see where they are at any point in advancing through the payplan. Although it may seem complex, with proper explanations, it will become clear to everyone.

Commission:

A sales rep commission is broken down into 3 main parts:

1. Upfront commission
2. Backend commission
3. Upgrades commission + Bonus Opportunities
4. Recruiting

1. Upfront commission
    a. When a rep sells a job, they should be able to know exactly how much pay they are getting upfront for that sale. The amount paid will be a portion of the total commission, called upfront pay/upfront commission. The remainder will be kept in a backend commission account, which will be explained in the next section.
    b. Structure
        i. **Example Base Commission Grid**
        ii. Upfront pay should be dispersed immediately after the cancellation period for the customer, on the following week's paycheck cycle.

Selling Price	Total Commission	Upfront Pay (70%)
Less than $20,000	$1000	$700
$20k-$30k	$1500	$1070
$30k-45k	$2250	$1575
$45k-60k	$3000	$2100
$60k-75k	$3750	$2625
$75k-90k	$4500	$3150
$90k +	$5000	$3500

        iii. This is basically a base 5%-7.5% payplan, depending on the selling price. The lower the selling price is on the tier, the higher the commission for the rep. The average should be around 6.5% as a base commission rate. Although this sounds low, there is a ton of upside when they sell volume and at high margins (outlined below) and also protects the company because if a sales rep leaves, the remaining 30% pay in backend money should be reduced to 10% *(open to discuss)*, and paid out only after all pending jobs are completed. The money that is not paid out is re-absorbed by the company, not the managers.

2. Backend Commission
    a. Backend Commission is a savings account that accrues throughout each 'season' which will be the Quarters to the year. 4 seasons throughout the year.

Selling Price	Total Commission	Backend (30%)
Less than $20,000	$1000	$300
$20k-$30k	$1500	$430
$30k-45k	$2250	$675
$45k-60k	$3000	$900
$60k-75k	$3750	$1125
$75k-90k	$4500	$1350
$90k +	$5000	$1500

    b. This is where things can get exciting for sales reps. Because now we incentivize them with a multiplier on their backend simply with volume. So in a sales rep's mind, we want them to think "the more I sell each quarter, the bigger my backend will be". Here is an example for a volume backend multiplier:

# of Jobs Sold / Quarter	Backend Multiplier
0-5	1x
6-10	1.25x
11-15	1.5x
16-20	1.75x
21-25	2x
25+	2.25x

    c. For returning reps to each new 'season', we can give them a bonus towards their volume multiplier based on where they finished the previous quarter in terms of sales:

# of Jobs Sold / Quarter	New Quarter Starting Sales #
0-5	0
6-10	1
11-15	2
16-20	3
21-25	4
25+	5

    d. This will help reps stay longer, as each 'season' becomes slightly easier for them to hit big pay levels.

3. Upgrades Commission + Bonus Opportunities
    a. Selling upgrades is an essential part of growth, salesmanship, and increased revenue for the company. It aligns all company goals with the managers and rep's goals. We always strive for more revenue, and more profitability.
        i. Upgrades:
            1. Warranties - Selling the Manufacturer's warranty as part of the roofing system
                a. Rep should be paid $100 every time they sell a warranty
            2. Active Ventilation (Attic Breeze) - Upgrading static vents to active
                a. Rep should be paid $150 per Attic Breeze vent they sell.

3.1. Bonus Opportunities
    a. Upfront Deposit collected - incentivizing cash deposits to help get funds quickly and solidify sales.

Amount Collected Upfront	**Bonus Earned on Upfront Paycheck**
$0-$4999	$0
$5000-$9999	$25
$10,000+	$50

    b. Gross Profit Bonus - Selling highly profitable jobs should be incentivized with more commission earning opportunities. This incentivizes true salesmanship, and not selling a job for the lowest possible price. *This bonus is added into the backend amount before calculating the backend multiplier. Topic to discuss.*

Gross Profit Bonus	**Bonus Earned on Backend**
Less than 15%	-2% of selling price (deduction)
15-20%	-1% of selling price (deduction)
20-25%	0% of selling price
25%-30%	.5% of selling price
30%-35%	1% of selling price
35%-40%	1.5% of selling price
40%+	2% of selling price

Examples of Commissions earned during a quarter

Rep A:

#	Selling Price	Total Comm	Upfront	Backend	Gross Profit %	GP Bonus %	GP Bonus $
1	$19,990	$1000	$700	$300	23%	0%	$0
2	$27,456	$1500	$1070	$430	31%	1%	$274.56
3	$30,000	$2250	$1575	$675	27%	.5%	$150
4	$18,450	$1000	$700	$300	18%	-1%	-$184.50
5	$22,680	$1500	$1070	$430	33%	1%	$226.80
6	$17,990	$1000	$700	$300	21%	0%	$0
7	$25,000	$1500	$1070	$430	28%	.5%	$125
8	$28,000	$1500	$1070	$430	34%	1%	$280
9	$32,330	$2250	$1575	$675	22%	0%	$0
10	$21,500	$1500	$1070	$430	19%	-1%	-$215.00
11	$29,680	$1500	$1070	$430	44%	2%	$593.60
12	$47,820	$3000	$2100	$900	27%	.5%	$239.1
13	$32,000	$2250	$1575	$675	32%	1%	$320
14	$17,750	$1000	$700	$300	21%	0%	$0
	Totals						
14	$370,646	$22,750	$16,045	$6,705	-	-	$1809.56

Backend Bonus Multiplier

Backend Amount Earned in Qtr	GP Bonus Earned in Qtr	Backend Commission Total
$6705	$1809.56	$8514.56
	Backend Multiplier (x1.5 @ 14 sales)	x 1.5
Commissions Total	Upfront	Backend
Commissions Total	$16,045	$12,771.84

In this example, Rep A earned **$28,816.84**

- Breaks down to $9,606.28 per month
- Comparing this total commission against total sales volume, this equals a 7.77% commission per job, on average.
- This is slightly lower than most company's comp plans which typically offer 10%, but with more upside in selling higher volume packages, better Gross Profit, Upgrades, and Recruiting.

- On average, a sales rep should earn an additional $1000 for selling upgrades to customers in a season
- Reps will also have opportunities to hit recruiting legacy bonuses which can increase their yearly takehome pay.

Rep B

#	Selling Price	Total Comm	Upfront	Backend	GP %	GP Bonus %	GP Bonus $
1	$28,500	$1500	$1070	$430	32%	1%	$285
2	$32,000	$2250	$1575	$675	28%	0.5%	$160
3	$35,000	$2250	$1575	$675	30%	1%	$350
4	$27,200	$1500	$1070	$430	33%	1%	$272
5	$31,000	$2250	$1575	$675	36%	1.5%	$465
6	$26,000	$1500	$1070	$430	31%	1%	$420
7	$29,500	$1500	$1070	$430	35%	1.5%	$442
8	$46,000	$3000	$2100	$900	29%	0.5%	$230
9	$38,000	$2250	$1575	$675	34%	1%	$380
10	$26,000	$1500	$1070	$430	28%	0.5%	$130
11	$34,000	$2250	$1575	$675	33%	1%	$340
12	$28,500	$1500	$1070	$430	17%	-1%	-$285
13	$37,200	$2250	$1575	$675	30%	1%	$372
14	$24,800	$1500	$1070	$430	27%	0.5%	$124
15	$33,500	$2250	$1575	$675	36%	1.5%	$503
16	$41,000	$2250	$1575	$675	32%	1%	$410
17	$36,000	$2250	$1575	$675	19%	-1%	-$360
18	$52,000	$3000	$2100	$900	31%	1%	$520
19	$44,000	$3000	$2100	$900	33%	1%	$440
20	$39,500	$2250	$1575	$675	30%	1%	$395
21	$47,000	$3000	$2100	$900	34%	1%	$470
22	$34,800	$2250	$1575	$675	32%	1%	$348
	Totals						
22	$771,500	$47,250	$33,075	$14,175	-	-	$6,411

Backend Bonus Multiplier

Backend Amount Earned in Qtr	**GP Bonus Earned in Qtr**	**Backend Commission Total**
$14,175	$6,411	$20,586
	Backend Multiplier (x2 @ 22 sales)	x 2
Commissions Total	Upfront	Backend
Commissions Total	$33,075	$41,172

In this example, Rep B earned **$74,247**

- Breaks down to $24,749 per month
- Comparing this total commission against total sales volume, this equals a 9.6% commission per job, on average.

Rep C

#	Selling Price	Total Comm	Upfront	Backend	GP %	GP Bonus %	GP Bonus $
1	$17,900	$1000	$700	$300	23%	0%	$0
2	$22,200	$1500	$1070	$430	19%	-1%	-$222
3	$25,000	$1500	$1070	$430	31%	1%	$250
4	$16,900	$1000	$700	$300	28%	.5%	$84.50
5	$18,500	$1000	$700	$300	25%	0%	$0
6	$27,000	$1500	$1070	$430	31%	1%	$270
7	$30,500	$2250	$1575	$675	29%	.5%	$152.50
8	$19,000	$1000	$700	$300	23%	0%	$0
	Totals						
	$177,000	$10,750	$7,525	$3,225			$535

Backend Bonus Multiplier

Backend Amount Earned in Qtr	GP Bonus Earned in Qtr	Backend Commission Total
$3,225	$535	$3,760
	Backend Multiplier (x1.25 @ 8 sales)	x 1.25
Commissions Total	Upfront	Backend
Commissions Total	$7,525	$4,700

In this example, Rep C earned **$12,225**

- Breaks down to $4,075 per month
- Comparing this total commission against total sales volume, this equals a 6.9% commission per job, on average.

4. Recruiting
   a. While recruiting will not be mandatory by sales reps, it will be incentivized. We do this by offering a **0.5% override** on all recruit's book of business, payable as long as the recruiter is still employed. This way, reps have another income stream while working here, and also helps with rep retention rate and involvement within the team culture.

      Example:

Q1	**Recruit 1**	**Recruit 2**	**Recruit 3**	**Recruit 4**
Total Sales	$277,000	$310,000	$400,000	$168,000
Override	.005	.005	.005	.005
Total	$1,385	$1,550	$2,000	$840
				Total
				$5,775

   b. The recruiting bonus is paid during backend distribution, and as a one time payment every quarter.
   c. People that start building a team beneath them, and also show leadership qualities is who we look to as potential rise in management. *Open to discuss the parameters for this.*
   d. The recruiting incentive only applies to first tier recruits. Meaning only people that are directly recruited by someone are eligible for the recruiting override.
      i. Example: If a manager recruited Tim, the manager gets the .5% on all of Tim's sales. However once Tim recruits Bobby, the manager is not eligible to receive the .5% bonus on Bobby's sales, but the override goes to Tim.